

Model validation and red-team review

Version 1.0.0 | No investment-grade country forecast

Executed coverage: 195 unique country dossiers, seven UN population milestones, six chosen worlds, 8,190 matrix rows, 18 full 25-year normalized cash cases, order-threshold roots, 2,500/5,000/10,000-draw stress runs, and OLS with temporal and geographic validation. Missing values remain null. Source vintages, checksums, series and units are retained or reproducible.

Executed econometrics

Training contains 2,856 country-year records from 2002–2018 and 171 countries. The holdout contains 680 records from 2019–2022. The target is annual growth of the food production index, a supply proxy rather than consumption or Olam demand. In-sample R-squared is 0.006179. Holdout MAE is 0.048299 against 0.049794 for country means and 0.048960 for zero growth. Country-clustered CR1 intervals show imprecise slopes.

The model is rejected for country investment forecasts. Latest-vintage retrospective validation is not a real-time vintage backtest. Common global shocks, measurement error and structural breaks remain. No causal elasticity or 2051 product forecast is claimed. Exact coefficients, intervals and leave-region-out results are in the workbook and analysis JSON.

Challenges and falsifiers

1. Does population imply profit? No. Eligible buyers, capture, price, cost and funding must clear the template boundary.
2. Does SALIC ownership create an order? No. Independently bankable offtake is required.
3. Is EBITDA sufficient? No. The managed owned example has negative NPV after capital and working cash.
4. Is the cash release recurring? No. A working-capital transition releases cash once.
5. Are stress frequencies probabilities of success? No. They describe a chosen generator. Business dependence must be measured.
6. Is the new framework proven superior? No. A teaching counterexample is not an Olam allocation backtest.
7. Do different countries diversify risk? Only if crop, port, buyer, FX and lender exposure differ.
8. Does a country page establish legal access? No. Counsel must check the actual product, rule and counterparty.
9. Does global warming establish local crop damage? No. Crop, basin and asset links are missing.
10. Does CPM improvement prove Olam profit? No. It is self-described portfolio evidence.

Accounting and physical checks

Revenue equals delivered tonnes times net price; deliveries cannot exceed usable capacity. NWC equals AR plus inventory minus AP. Taxes cannot be negative under the chosen loss convention. FCFF reconciles to EBIT less cash tax plus D&A less capex and NWC change plus closeout. Each capital cohort depreciates over ten years. The terminal amount contains only 90% NWC recovery. Threshold roots are checked against full NPV. Annual cash does not certify monthly solvency.

Production review still needs Finance actuals, Legal access and rights, Treasury currency/hedges, Operations yield/capacity, location-linked hazards and Marketing counterfactuals. Artifact checks are not external business validation.